



 EMERGING TECH RESEARCH

Medtech VC and PE Trends

VC and PE activity across the medtech ecosystem

Q1
2025

REPORT PREVIEW

The full report is available through
the PitchBook Platform.





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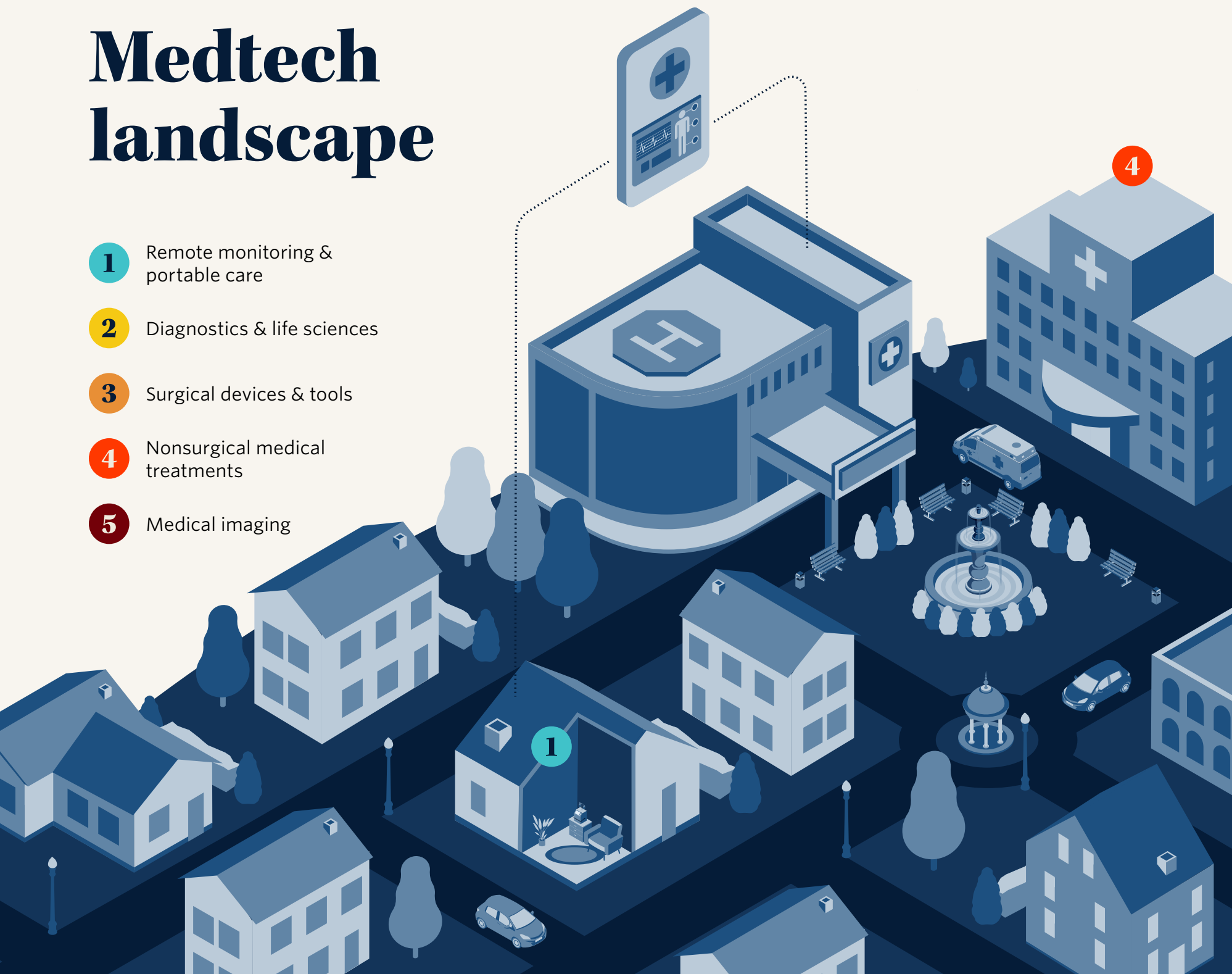
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Medtech landscape

- 1 Remote monitoring & portable care
- 2 Diagnostics & life sciences
- 3 Surgical devices & tools
- 4 Nonsurgical medical treatments
- 5 Medical imaging

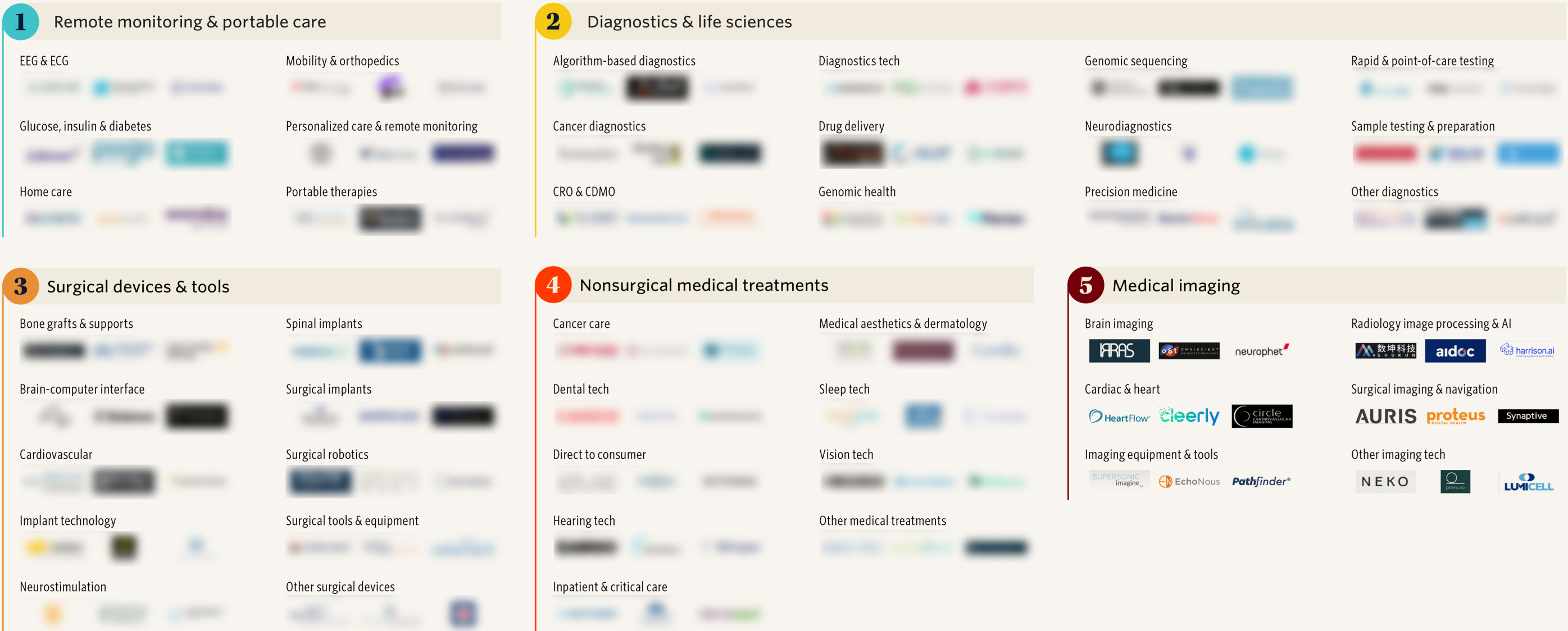




Medtech VC and PE ecosystem market map

This market map is an overview of venture-backed or growth-stage companies that had received venture capital or other notable private investments as of Q4 2024.

[Click to view the latest interactive map on the PitchBook Platform.](#)





VC and PE activity

VC activity

There are clear signs of momentum for medical technology (medtech) VC investment. In Q1, VC funding totaled \$4.1 billion, the highest figure since Q1 2022. The quarterly deal count also reversed a four-quarter decline by reaching 216 confirmed transactions—and this is likely an undercount, as we expect additional deals to be reported for the quarter. Preliminary data for Q2 shows over \$3 billion of VC funding in the sector so far, with Neuralink’s \$650 million deal leading the way. 2025 is shaping up to be a strong year for global medtech funding, especially compared with the funding doldrums of the past few years.

In Q1, 11 deals met or exceeded the \$100 million mark, the highest being Sweden-based whole-body-imaging startup Neko Health’s \$260 million Series B. EverBridge Medical claimed the second spot, raising \$138.9 million. Neko’s whole-body-screening peer Prenuvo was also among the top deals with a \$120 million Series B. It has been an active start to the year for the burgeoning whole-body-screening subsector, which we explored in [prior research](#); on May 5, Function Health acquired Ezra, integrating Ezra’s whole-body-scanning services into Function Health’s subscription-based diagnostic platform.

Following a challenging stretch for the broader consumer health space, the medtech sector is showing renewed momentum as the lines continue to blur between medtech and traditional digital health offerings. This convergence is exemplified by the growing adoption of smart rings (such as Oura and WHOOP), consumer-grade glucose monitors, and longevity-focused platforms such as Superpower and the aforementioned Function Health.

PE activity

PE deal activity in the medtech sector is off to a solid start in 2025, with 44 deals already completed in Q1—well ahead of the pace set in 2024, which saw 126 PE transactions during the year. Notably, PE firms participated in Saluda Medical’s \$100 million funding round in January, including TPG and Redmile Group, bringing the neuromodulation startup’s fundraising total to over \$600 million to date. [In a previous report](#), we noted that organ transplant technology remains an underrated funding category, and recent developments have underscored this view, including last year’s acquisition of VC-backed Paragonix Technologies and PE-backed OrganOx securing \$142 million in development capital from a diverse mix of PE and VC investors in February.

Despite solid fundraising momentum, PE exits have been scarce in the medtech sector—a notable contrast to the rising pace of PE exits seen in [other areas of healthcare](#), particularly pharma services and healthcare services, where M&A has rebounded. Looking ahead, PE-backed Caris Life Sciences filed for an IPO on May 23 and will be the latest medtech company heading toward the public markets as it seeks to raise over \$400 million at a \$5.3 billion valuation.¹ Medline Industries also remains on our IPO watchlist this year, a potential bellwether for larger-scale PE-backed medtech exits.

¹: [“Sixth Street-Backed Caris Life Sciences Targets \\$5.3 Billion Valuation in US IPO,” Reuters, Arasu Kannagi Basil, June 9, 2025.](#)



VC AND PE ACTIVITY

Exit outlook

There were no significant medtech VC exits in the first quarter, and the total exit value remained roughly in line with the previous two quarters. Large exits continue to be rare, with overall exit value in recent years heavily dependent on major transactions and listings, such as Tempus AI's IPO in June 2024 and the \$6 billion acquisition of Athelas by Commure in October 2023. Still, the first quarter featured three notable exits in the sector: the acquisitions of SoniVie and Gynesonics for \$600 million and \$350 million, respectively, and Beta Bionics' public listing. The latter was part of a wave of small-cap medtech IPOs last year, including listings by Kestra Medical Technologies and Ceribell. While these listings were solid outcomes for the companies' investors, all three companies currently trade at or below a \$1 billion market cap and were not among the most highly valued medtech startups at their time of listing.

On the M&A front, corporate spin-offs are not entirely out of favor: In February, BD announced it would spin off its diagnostic and biosciences businesses, and in May, Medtronic said it would spin off its diabetes business within the next 18 months. These moves reflect a continued focus by large strategics on core operations, though they are not without scrutiny: Medtronic's diabetes spin-off raised eyebrows among some analysts given its healthy performance and market positioning.²

Boston Scientific remains an active leader in medtech M&A, exemplified by its acquisition of SoniVie to bolster its presence in the emerging renal denervation space. However, our earlier thesis that the new US presidential administration's more lenient regulatory stance would catalyze M&A activity has yet to play out, as broader market turbulence in early 2025 has complicated

dealmaking conditions across sectors. Additionally, regulatory resistance remains a headwind: The Federal Trade Commission is continuing its legal challenge of the \$627 million PE acquisition of Surmodics, a case now backed by the attorneys general of Illinois and Minnesota.

Regulatory update

The regulatory and reimbursement climate remains in flux, with near-term uncertainty posing challenges for long-term capital planning across the medtech sector. In a recent BTIG survey of 30 hospital purchasing leaders, two-thirds of respondents anticipated reduced capital budgets if the Medicaid cuts outlined in the House version of the bill proceed—an outcome that could impact the procurement of high-ticket devices such as robotic systems and imaging platforms.³ Meanwhile, the Food and Drug Administration's (FDA's) decision not to appeal the court ruling that blocked the Biden administration's final rule on lab-developed tests (LDTs) halts efforts to expand federal oversight in this space. This effectively preserves the status quo, with thousands of diagnostic assays continuing to operate under minimal FDA scrutiny. For diagnostics investors—and particularly those backing LDT-heavy platforms—this outcome is mixed: It maintains accelerated commercial pathways, but the absence of formal regulation could pose a modest headwind to long-term adoption given the continued lower barriers to entry for new tests.

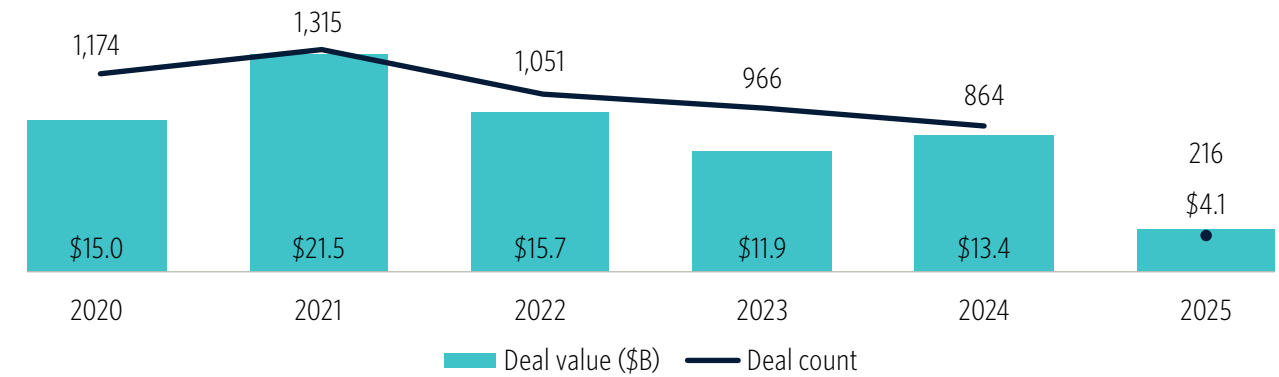
2: [“Why Medtronic Plans to Spin Out Its Diabetes Business,” MedTech Dive, Elise Reuter, May 22, 2025.](#)

3: [“4 Takeaways From AAOS 2025,” MedTech Dive, Elise Reuter, March 17, 2025.](#)



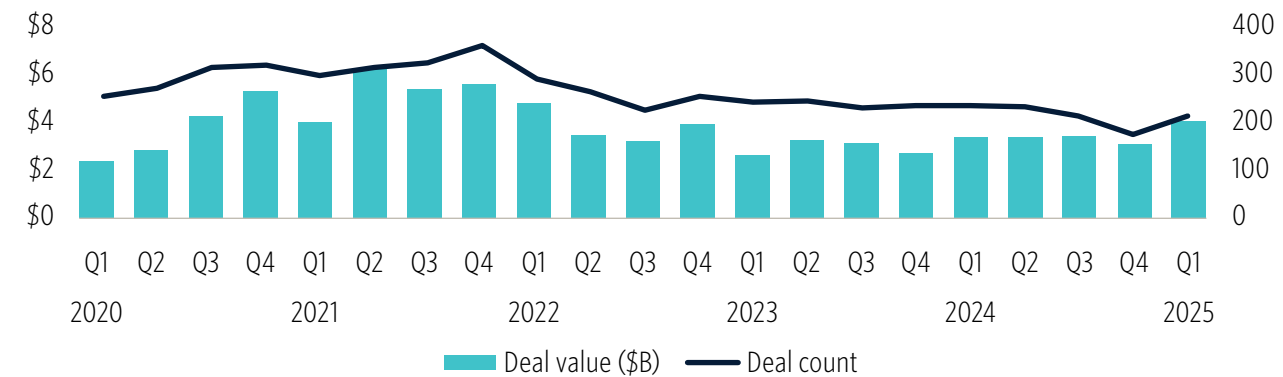
VC AND PE ACTIVITY

Medtech VC deal activity



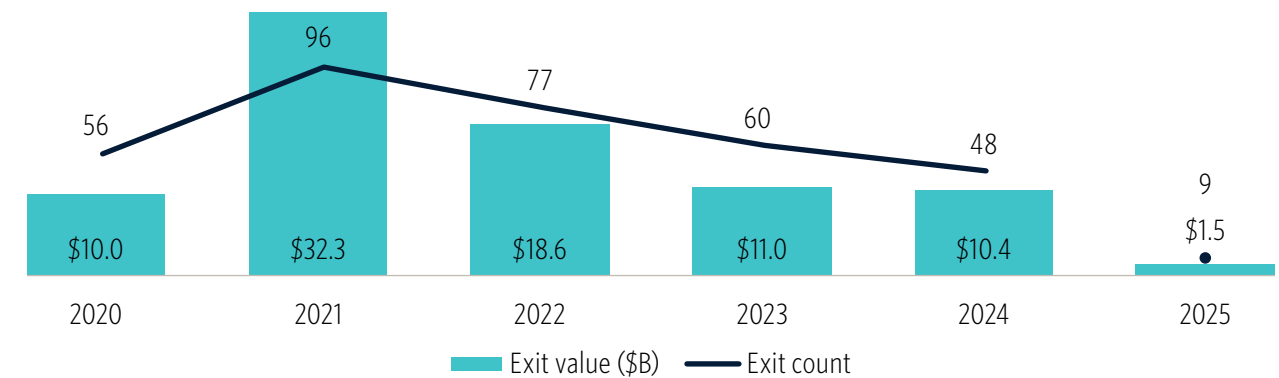
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Medtech VC deal activity by quarter



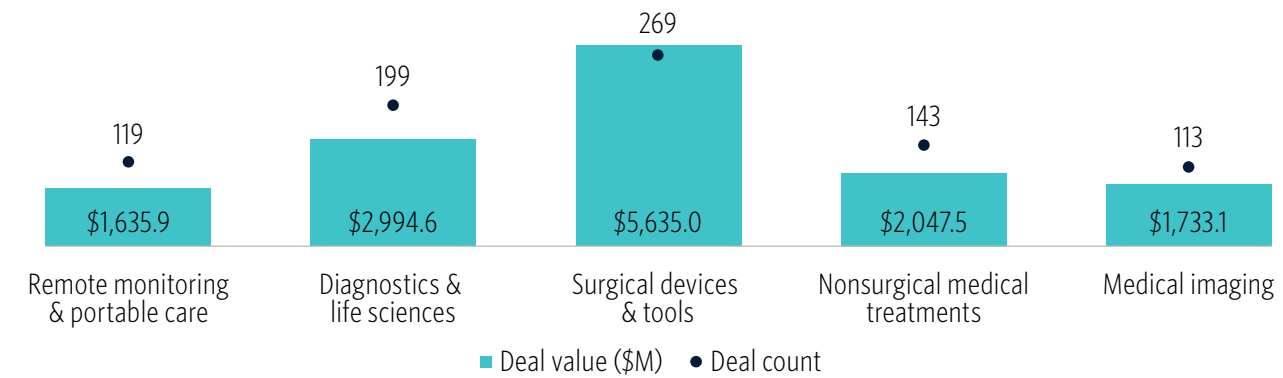
Source: PitchBook • Geography: Global • As of March 31, 2025

Medtech VC exit activity



Source: PitchBook • Geography: Global • As of March 31, 2025

Trailing-12 month medtech VC deal activity by segment

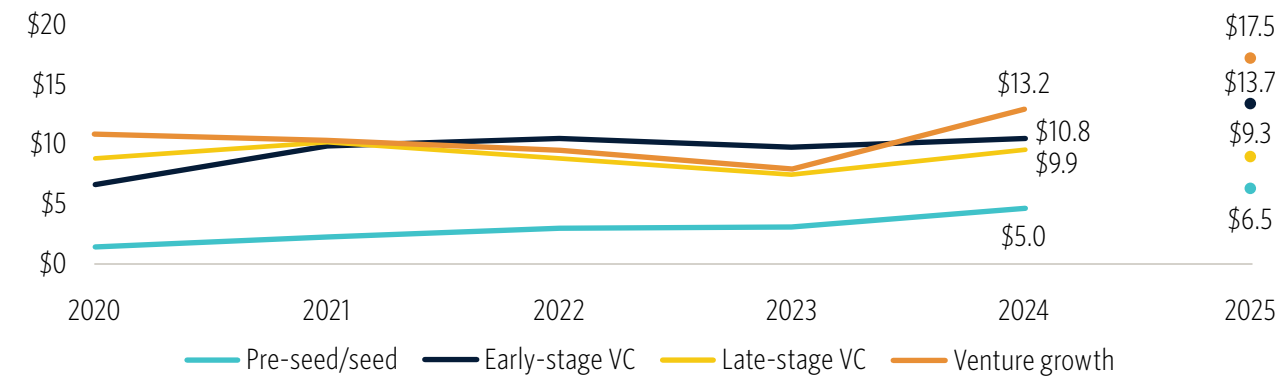


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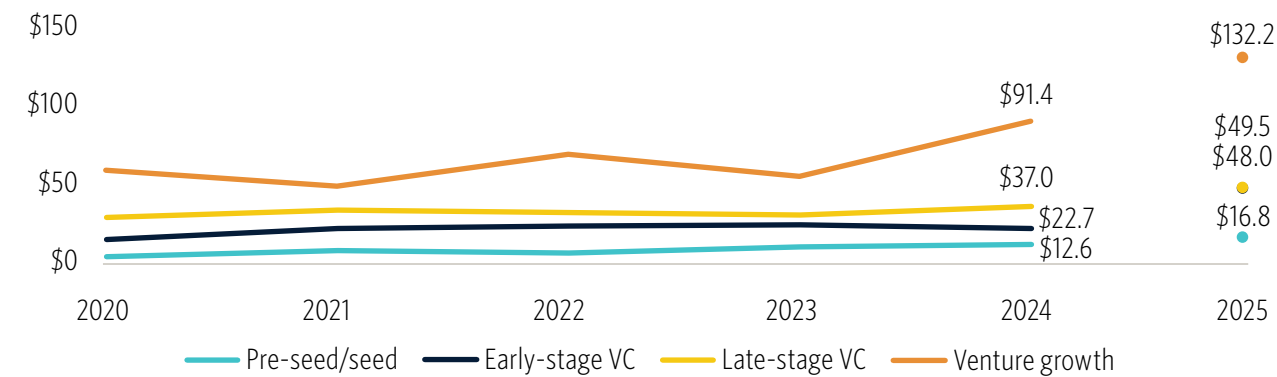
VC AND PE ACTIVITY

Median medtech VC deal value (\$M) by stage



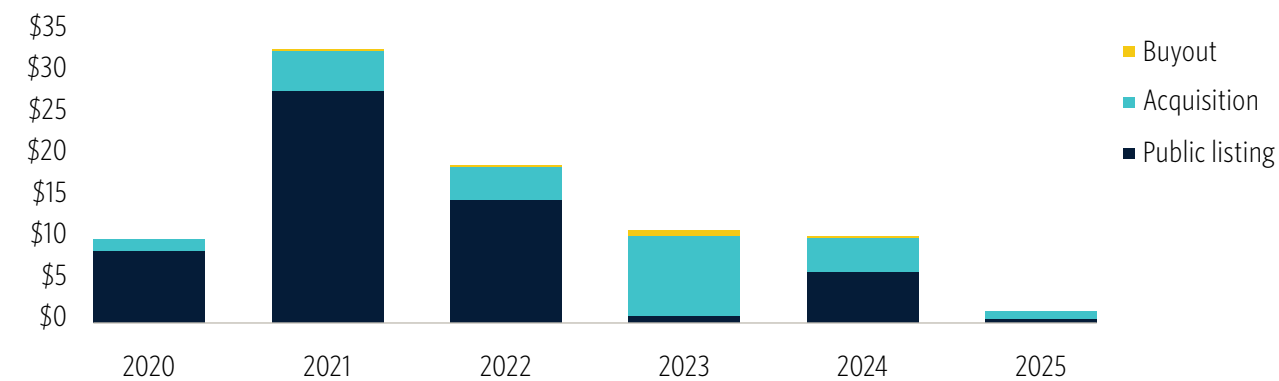
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Median medtech VC pre-money valuation (\$M) by stage



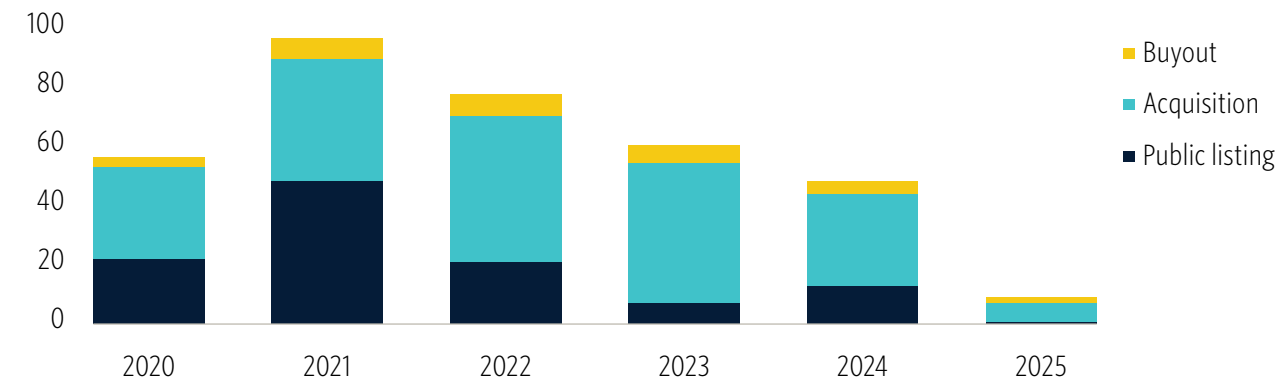
Source: PitchBook • Geography: Global • As of March 31, 2025

Medtech VC exit value (\$B) by type



Source: PitchBook • Geography: Global • As of March 31, 2025

Medtech VC exit count by type



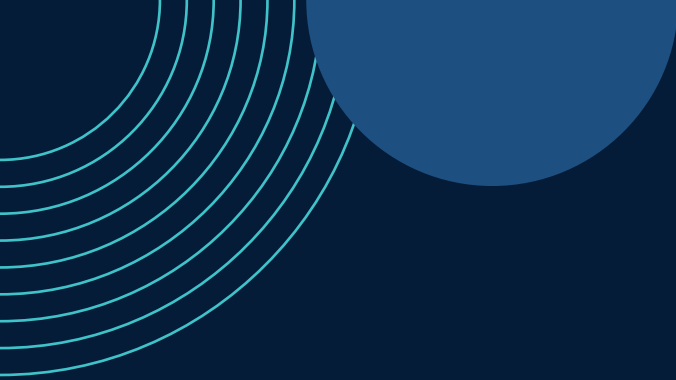
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Medtech VC deal summary

	Quarterly activity					Trailing 12-month activity		
	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2023 to Q1 2024	Q2 2024 to Q1 2025	
Deal count	237	236	215	176	216	957	843	
QoQ change	-0.8%	-0.4%	-8.9%	-18.1%	22.7%	N/A	-11.9%	
Share of total VC	2.1%	2.3%	2.3%	1.9%	2.4%	2.2%	2.2%	
Deal value (\$B)	\$3.4	\$3.4	\$3.4	\$3.1	\$4.1	\$12.7	\$14.1	
QoQ change	26.2%	-1.0%	1.2%	-9.8%	31.9%	N/A	11.0%	
Share of total VC	4.1%	3.7%	4.0%	2.6%	2.8%	3.7%	3.2%	
Exit count	7	8	18	15	9	53	50	
Public listings	1	4	4	4	1	7	13	
Acquisitions	4	2	14	11	6	40	33	
Buyouts	2	2	0	0	2	6	4	

Source: PitchBook • Geography: Global • As of March 31, 2025



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Our Industry and Technology Research provides detailed analysis of established industries and nascent tech sectors from the perspective of private market dealmaking, helping you stay current on market trends and providing the insights you need to pursue new opportunities with confidence.

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